GATHERING CLIENT INFORMATION

Learning Outcomes

- describe risk and return objectives and how they may be developed for a client
- describe the investment constraints of liquidity, time horizon, tax concerns, legal and regulatory factors, and unique circumstances and their implications for the choice of portfolio assets

As noted earlier, it is important for portfolio managers and investment advisers to know their clients. For example, in the EU, MiFID II requires financial intermediaries to undertake substantial fact finding. This is required not only in the case of full-service wealth management or in the context of an IPS but also in "lighter" forms of financial intermediation, such as advisory relationships (in which clients make investment decisions after consultation with their investment adviser or broker) or execution-only relationships (in which the client makes investment decisions independently).

An exercise in fact finding about the customer should take place at the beginning of the client relationship. This process will involve gathering information about the client's circumstances as well as discussing the client's objectives and requirements.

Important data to gather from a client should cover family and employment situation as well as financial information. If the client is an individual, it may also be necessary to know about the situation and requirements of the client's spouse or other family members. The health of the client and her dependents is also relevant information. In an institutional relationship, it will be important to know about key stakeholders in the organization and what their perspective and requirements are. Information gathering may be done in an informal way or may involve structured interviews, questionnaires, or analysis of data. Many advisers will capture data electronically and use special systems that record data and produce customized reports.

Good recordkeeping is very important and may be crucial in a case in which any aspect of the client relationship comes into dispute at a later stage.

EXAMPLE 7

Marie Gascon: Description of Constraints

Marie Gascon continues to discuss her investment requirements with her financial adviser. The adviser begins to draft the constraints section of the IPS.

Gascon expects that she will continue to work for the oil company and that her relatively high income will continue for the foreseeable future. Gascon and her husband plan to have no additional children but expect that their son will go to a university at age 18. They expect that their son's education costs can be met out of their salary income.

Gascon's emergency reserve of €100,000 is considered to be sufficient as a reserve for unforeseen expenditures and emergencies. Her retirement savings of €900,000 has been contributed to her defined-contribution pension plan account to fund her retirement. Under French regulation, pension fund contributions are paid from gross income (i.e., income prior to deduction of tax), and pension fund returns are exempt from tax, but pension payments from a fund to retirees are taxed as income to the retiree.

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A. a maximum of 50% of the portfolio should be invested in liquid assets.
B. the portfolio should be invested entirely in liquid assets because of high spending needs.
C. the portfolio has no need for liquidity because there are no short-term spending requirements.

Hide Solution

Solution:

C is correct. The assets are for retirement use, which is 20 years away. Any short-term spending needs will be met from other assets or income.

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2. The investment time horizon is closest to

A. 5 years.
B. 20 years.
C. 40 years.

Hide Solution

Solution:

B is correct. The relevant time horizon is to the retirement date, which is 20 years away. The assets may not be liquidated at that point, but a restructuring of the portfolio is to be expected as Gascon starts to draw an income from it.

3. As concerns taxation, the portfolio

A. should emphasize capital gains because income is taxable.
B. should emphasize income because capital gains are taxable.
C. is tax exempt and thus indifferent between income and capital gains.

Hide Solution

Solution:

C is correct. Because no tax is paid in the pension fund, it does not matter whether returns come in the form of income or capital gains.

4. The principle legal and regulatory factors applying to the portfolio are

A. US securities laws.
B. European banking laws.
C. French pension fund regulations.

Hide Solution

Solution:

C is correct. Management of the portfolio will have to comply with any rules relating to French pension funds.

5. As concerns unique needs, the portfolio should

A. have a high weighting in oil and other commodity stocks.
B. be invested only in responsible and sustainable investments.
C. not have significant exposure to oil and other commodity stocks.

Hide Solution

Solution:

C is correct. Gascon's human capital (i.e., future labor income) is affected by the prospects of the oil industry. If her portfolio has significant exposure to oil stocks, she would be increasing a risk exposure she already has.

EXAMPLE 8

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Marie Gascon: Outline of an IPS

Following is a simplified excerpt from the IPS the adviser prepares for Marie Gascon, covering objectives and constraints.

Risk Objectives:

- The portfolio may take on relatively high amounts of risk in seeking to meet the return requirements. With a 20-year time horizon and significant assets and income, the client has an above-average ability to take risk. The client is a knowledgeable investor, with an above-average willingness to take risk. Hence, the client's risk tolerance is above average, explaining the aforementioned portfolio risk objective.
- The portfolio should be well diversified with respect to asset classes and concentration of positions within an asset class. Although the client has above-average risk tolerance, his investment assets should be diversified to control the risk of catastrophic loss.

Return Objectives:

- The portfolio's long-term return requirement is 6.2% per year, in nominal terms and net of fees, to meet the client's retirement income goal.

Constraints:

- *Liquidity*: The portfolio consists of pension fund assets, and there is no need for liquidity in the short to medium term.
- *Time Horizon*: The portfolio will be invested with a 20-year time horizon. The client intends to retire in 20 years, at which time an income will be drawn from the portfolio.
- *Tax Status*: Under French law, contributions to the fund are made gross of tax and returns in the fund are tax-free. Hence, the client is indifferent between income and capital gains in the fund.
- *Legal and Regulatory Factors*: Management of the portfolio must comply with French pension fund regulations.
- *Unique Needs*: The client is an executive in the oil industry. The portfolio should strive to minimize additional exposures to oil and related stocks.

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